

Tenet: Consistent Operating History

Both Capital Cities and American Broadcasting Companies had profitable operating histories dating back more than 30 years. ABC averaged 17 percent return on equity and 21 percent debt to equity from 1975 through 1984. Capital Cities, during the 10 years before its offer to purchase ABC, averaged 19 percent return on equity and 20 percent debt to capital.

Tenet: Favorable Long-Term Prospects

Broadcasting companies and networks are blessed with above-average economics. Like newspapers, and for much the same reason, they generate a great deal of economic goodwill. Once a broadcasting tower is built, capital reinvestment and working capital needs are minor and inventory investment is nonexistent. Movies and programs can be bought on credit and settled later when advertising dollars roll in. Thus, as a general rule, broadcasting companies produce above-average returns on capital and generate substantial cash in excess of their operating needs.

The risks to networks and broadcasters include government regulation, changing technology, and shifting advertising dollars. Governments can deny the renewal of a company's broadcasting license, but this is rare. Cable programs, in 1985, were a minor threat to networks. Although some viewers tuned in cable shows, the overwhelming majority of television viewers still preferred network programming. Also during the 1980s, advertising dollars for free-spending consumers were growing substantially faster than the country's gross domestic product. To reach a mass audience, advertisers still counted on network broadcasting. The basic economics of networks, broadcasting companies, and publishers were, in Buffett's mind, above average, and in 1985, the long-term prospects for these businesses were highly favorable.

Tenet: Determine the Value

Berkshire's \$517 million investment in Capital Cities at that time was the single-largest investment Buffett ever made. How Buffett determined the combined value of Capital Cities and ABC is open for debate. Murphy